



Part D:

Command Economies

The idea of a command economy was created as a response to the classical liberal values of the Industrial Revolution.



How would a command economy, also known as a centrally planned economy or public enterprise economy, answer the basic economic questions?

A. What will be produced?

The government decides through study and planning what the needs of the society are. Individual consumers are not given priority.

B. How will goods and services be produced?

The government or the public owns the factories, resources, and all the means of production.

Quotas (production targets) are set for factories and farms. There is no private property or competition between different producers.

The government may direct individuals to jobs and careers that best meet the needs of the society.

C. To whom will goods and services be distributed?

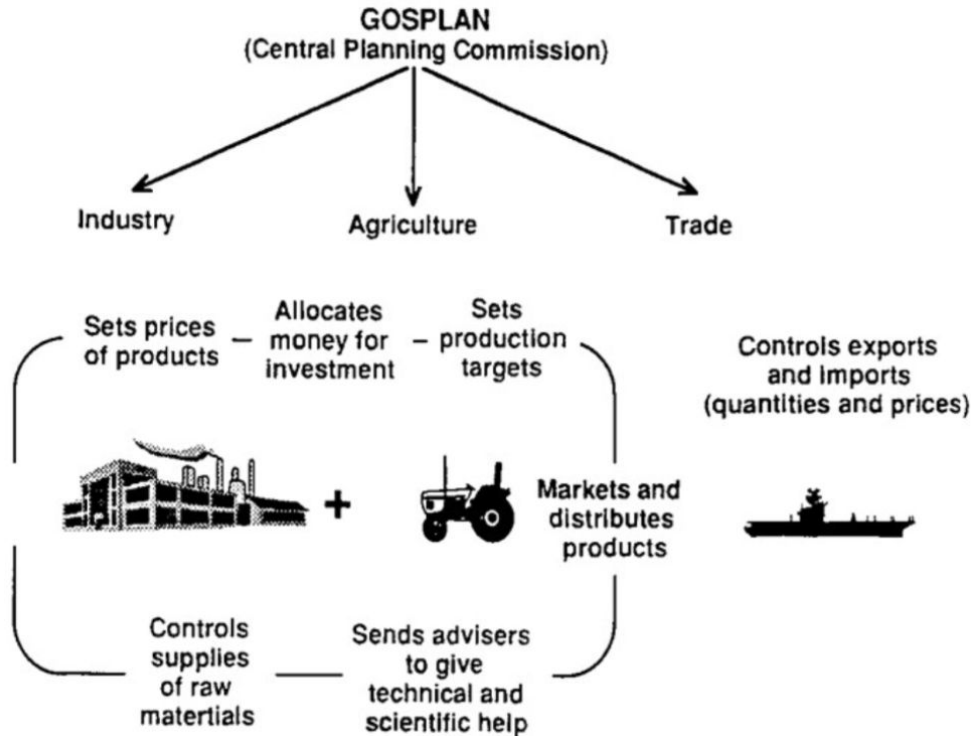
The government controls distribution according to people's needs, and this promotes economic equality. The government may also use this control to achieve military, industrial, or other goals for the society. Prices for goods are set by central planners.

D. Who will make these decisions?

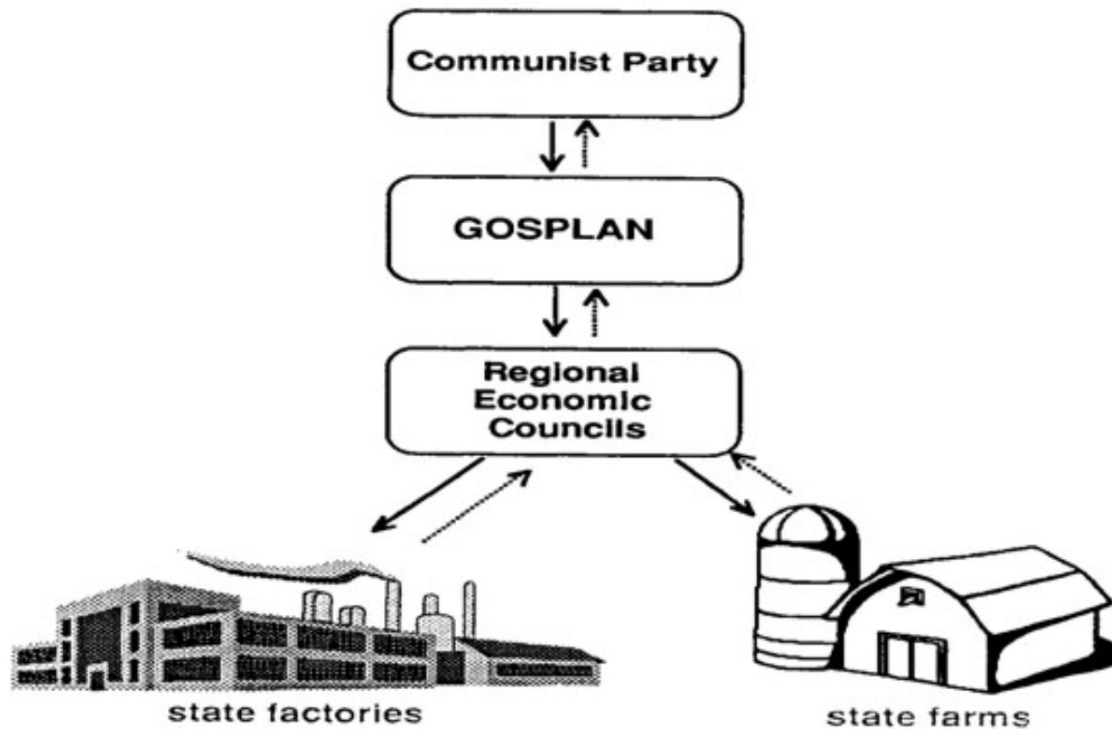
The leaders and their planning group (the central planners) determine the needs of the society and create, implement, and assess the plan.

Elements of a Planned Economy

A group of economic experts carry out the goals of the government called the Gosplan.



Structure of Power in the USSR



↓ : gives orders to

↑ : gives reports to



Command Economy Example: Cuba

Following a revolution in 1959, the new communist government of Cuba under the leadership of Fidel Castro tried to achieve economic equality for all Cuban citizens.

Castro's goal has been described as the "cherished ideal of egalitarianism, where every man must be equal even if all are poor."





Work was valued for its positive impact on society: for example, a doctor and a cleaner would both be judged as having a positive impact; if the trash collector did not collect trash properly, then society would suffer from unsanitary living conditions. The jobs would not receive equal pay, but the difference would not be great.

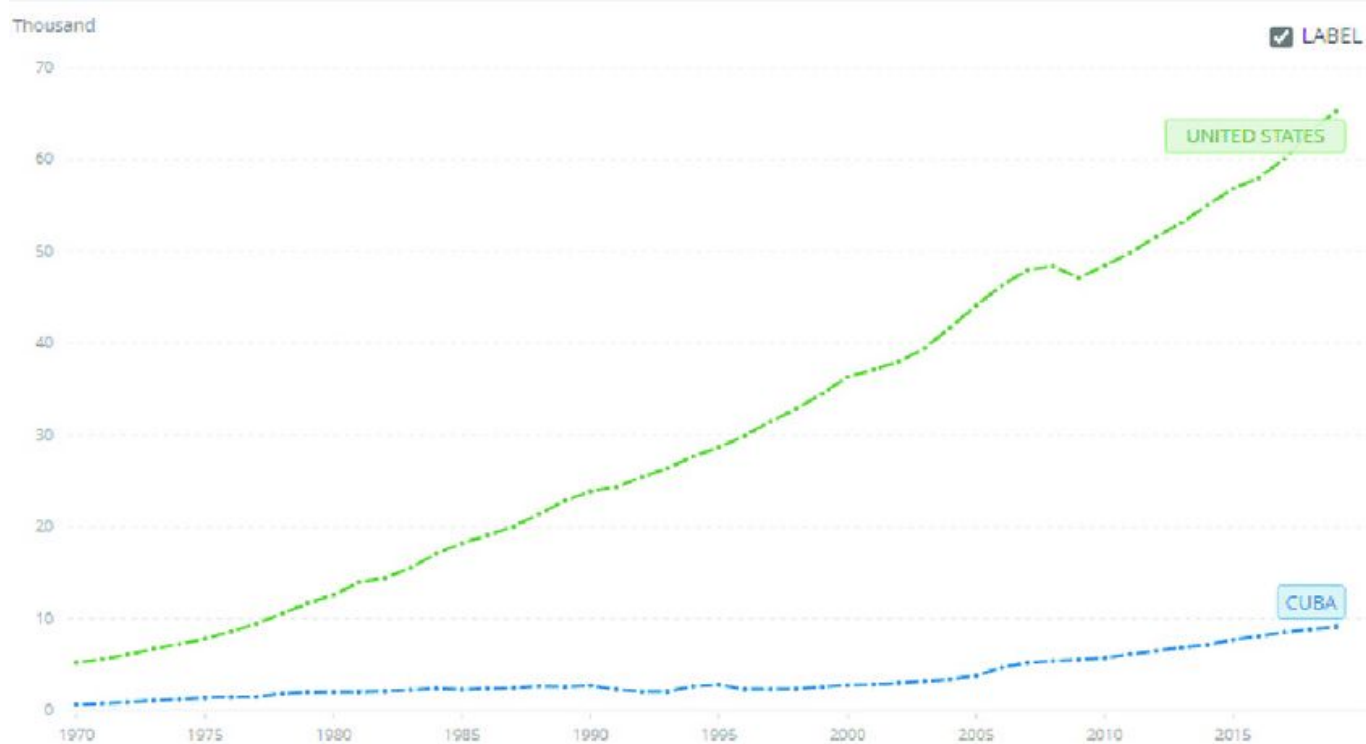
Cubans under communism have not received high incomes, nor have they been able to buy many products you might take for granted, but their quality of life could be considered favourable by other measures.

- Cubans generally have good access to education. They have roughly 1 teacher for every 10 students.
- Cubans have some of the best medical care and even though much of their economy is in a poor state, their infant mortality rate is on par with the United States.

How is Cuba doing after 65 years?



GDP per capita USA to Cuba 1979-2019



Some Perceived Advantages

- The economy can be efficient and use resources to meet planned goals and targets.
- Wealth may be distributed more equally, and people may have access to the basics they need to exist.
- Governments can ensure full employment.
- The marketplace can be stable and regulated, without experiencing economic booms and recessions.
- The goals of society may be met first, and profits benefit everyone in society.
- It is assumed that if the society prospers, the individual will benefit too.

Some Perceived Disadvantages

- Individual consumers may not have their needs met, and individual wealth may not be a goal.
- People may not have a choice of career, and they may live with more regulations than they would in other economic systems.
- Individuals may not have any incentive to work harder or improve the company or product.
- Sometimes the economy is slow to respond to any changes, since the plans are locked in place.
- Waste and inefficiency can be problems; the society may suffer if the government does not consider a particular goal to be important (for example, protection of the environment).
- The government may focus on one type of production (for example, military hardware) rather than producing goods that meet people's personal needs (for example, consumer goods).

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